

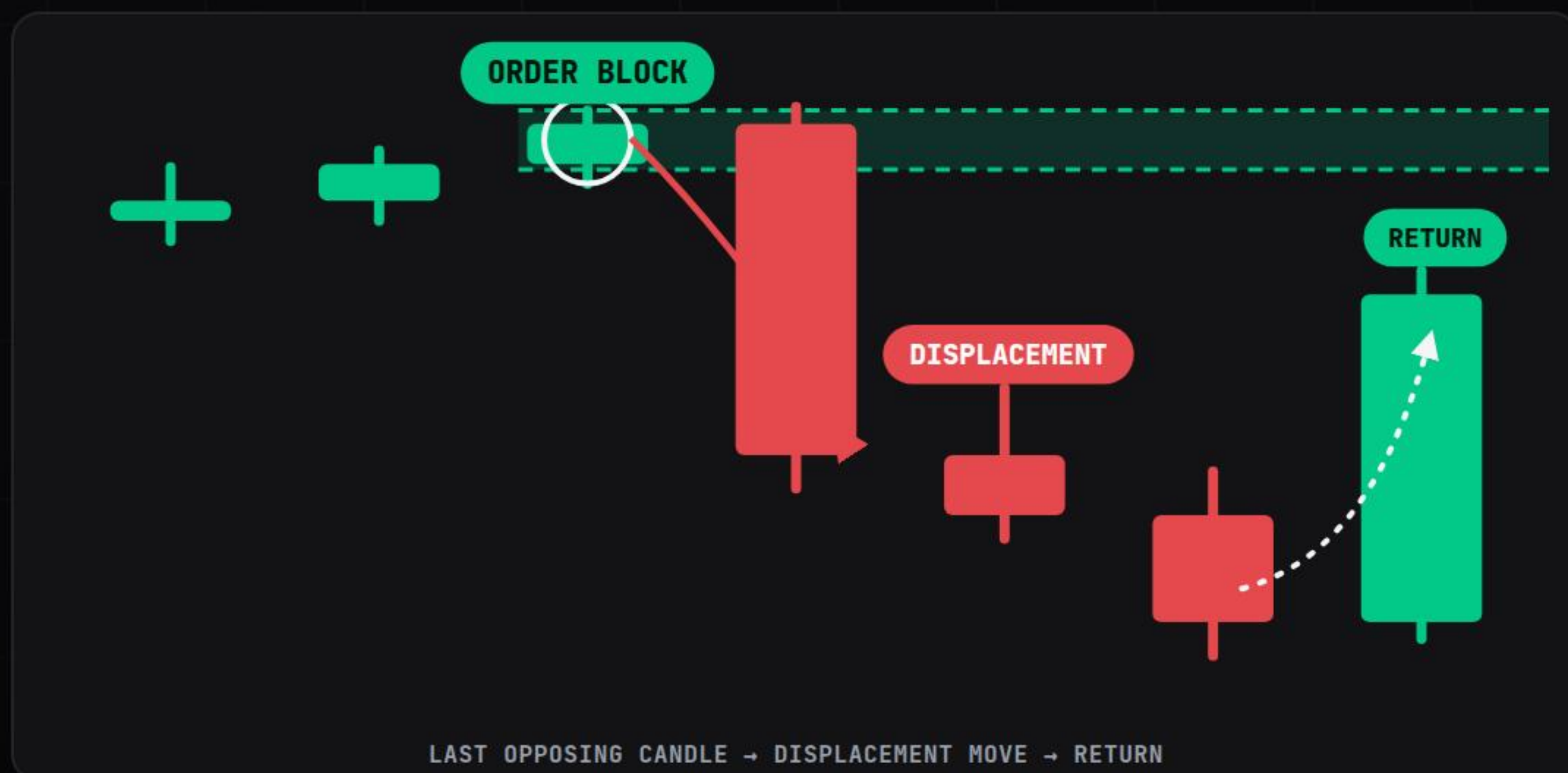


CHAPTER 09

Order Blocks — Identification & Validity

An order block marks the footprint of institutional entry — specifically, the **last candle in the opposite direction** before a strong, displacing move away from it. A large order couldn't be filled all at once, so a portion remains unfilled at that origin candle, creating a zone price often returns to before continuing.

In an uptrend, that's the last down-close candle before a strong push higher. **In a downtrend**, it's the last up-close candle before a strong push lower.



3-PART VALIDITY CHECKLIST

- 1 **Genuine displacement** — a decisive, larger-than-average move, not just an ordinary continuation candle.
- 2 **Leaves a fair value gap behind** — direct evidence of the imbalance.
- 3 **Originates from, or sweeps, a relevant liquidity point.**

An order block that satisfies all three carries real weight. One that satisfies only one or two is weaker evidence — a reason to size the trade more conservatively or wait for additional confirmation, not a hard rule to ignore entirely.

MITIGATED

An order block price has already returned to and reacted from — it's done its job once. It can still work again, but it generally carries less weight.

UNMITIGATED

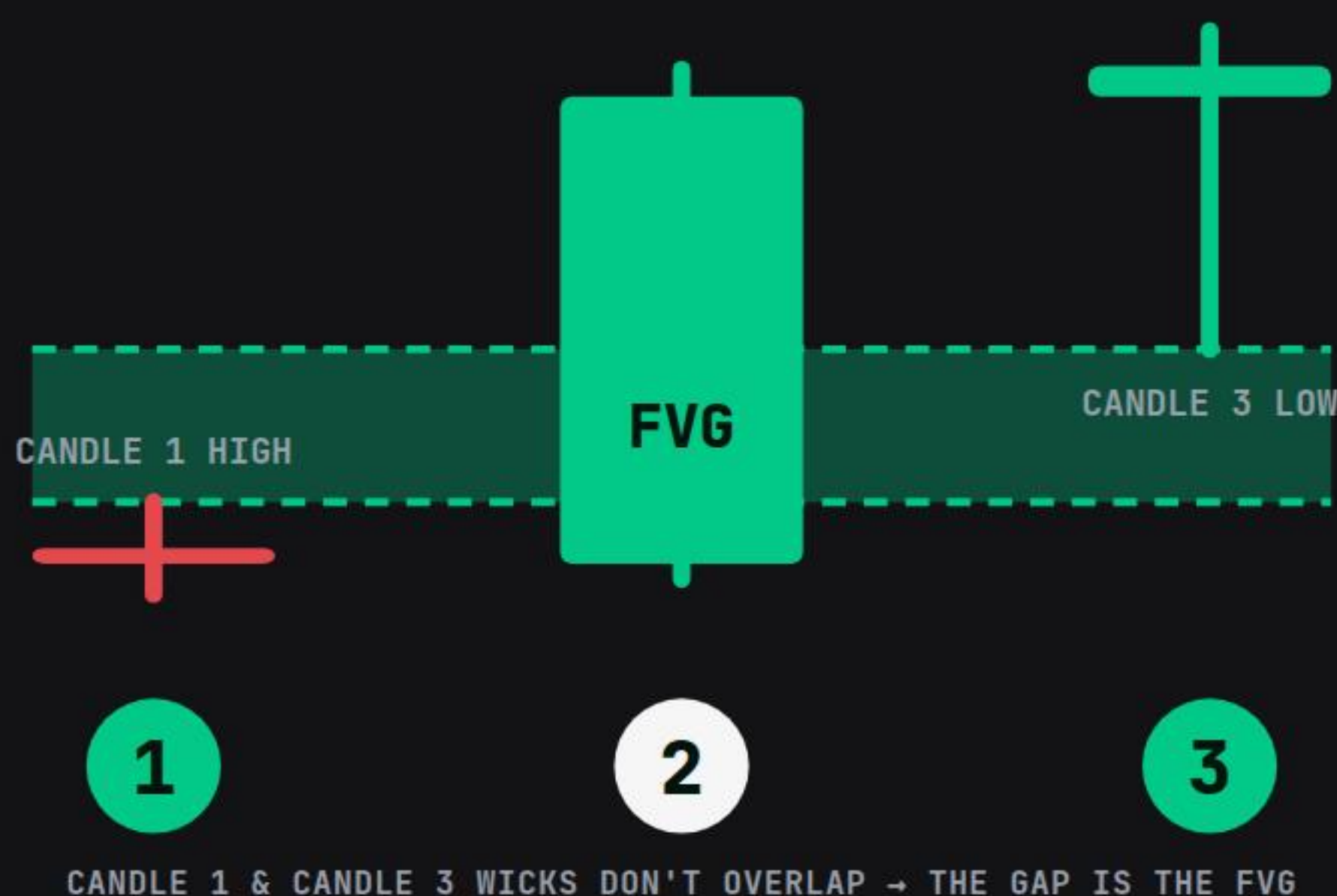
A block price hasn't yet returned to test. It generally carries more weight.



CHAPTER 10

Fair Value Gaps & Imbalance

A Fair Value Gap (FVG) is a precise **three-candle pattern** where the wick of the first candle and the wick of the third candle don't overlap, leaving a visible gap in price. That gap represents a moment where the market moved so aggressively in one direction that it left a real imbalance between buying and selling pressure — not just a normal, orderly move.



The definition is mechanical, not visual guesswork: look at candles one and three specifically, and check whether their wicks overlap at all. If they don't — if there's genuine empty space between them — the middle candle's aggressive move created a fair value gap.

WHY PRICE RETURNS

The imbalance was never properly traded through in both directions, so price frequently returns to it — not mystical memory, but because unfilled institutional orders and reference points tend to sit inside these gaps.

ENTRY VS TARGET

Treat FVGs as both potential entry zones and price targets. A gap in your bias direction is a reasonable pullback entry; a gap against it is a reasonable place to expect at least a temporary reaction.

Confluence: confluence matters, not trading an FVG in isolation. An FVG sitting inside an order block, or forming as part of a liquidity sweep, carries far more weight than an FVG sitting in open space with nothing else nearby.

Read the full lesson – Chapters 9 & 10 on strykertrading.com